RANK XEROX IRAN

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In October, 1973, Mr. A. B. Gozzard, the general manager of Rank Xerox Iran, began to prepare for a visit from Mr. J. M. Thomas, the chairman of the board and chief executive officier of Rank Xerox Ltd., and Mr. J. Buckingham-Burr, director of Rank Xerox Ltd.'s Geographic Regions Group and Mr. Gozzard's immediate superior (see organization chart in Exhibit 1). Both men were due to arrive in Tehran in late November and uppermost in Mr. Gozzard's mind was the necessity of making them fully aware of the need for a change in the status of Rank Xerox Iran within Iran. In preparation for this visit Mr. Gozzard began to review the situation of his company and select the issues that most warranted coverage in the few days that would be available for briefings and meetings.

Rank Xerox Iran (RXI) was a wholly-owned subsidiary of Rank Xerox Ltd. of London, England, which itself was a majority owned subsidiary (51%) of the Xerox Corporation of Connecticut, U.S.A. Founded in November, 1970, RXI engaged in the rental and maintenance of "Rank Xerox" brand plain paper copiers and the sale of paper for use with these machines.

During its first three years of operations, RXI experienced a rapid growth and by October, 1973, the company had 819 copying machines placed with customers on a rental basis. While RXI was one of the smallest of Rank Xerox Ltd.'s 23 foreign subsidiaries in terms of machine population, its rate of growth was among the highest and management expected revenue growth to continue at a high rate for the next few years.

RXI's operations had, by October, 1973, required equity capital and loans from Rank Xerox Ltd. totalling £ 2,585,100[1] (Rls. 424 million) and had produced retained earnings and reserves of £ 37,200 (Rls. 6.1 million). However, Rank Xerox Ltd. could repatriate neither RXI's profits nor the loan and equity capital it had provided. The Iranian government controlled all foreign exchange transactions within Iran and the repatriation of capital and profits was a privilege granted only to those foreign companies whose investments had been approved by the Ministry of Economy or the Central Bank.

Approval under Iranian law was normally restricted to companies that engaged in manufacturing and had a majority of their capital stock owned by Iranians or Iranian companies. Since RXI did not meet either of these conditions, management had never applied for approval under the repatriation law. Nevertheless, Mr. Gozzard believed that Rank Xerox would not continue to

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[1] In October, 1973, one pound sterling = 164 Iranian rials.

This material was made possible through the cooperation of Rank Xerox Iran and Rank Xerox Ltd. It was prepared by Assistant Professor Richard P. Rumelt to serve as the basis for class discussion and is not intended to illustrate either effective or ineffective handling of an administrative situation.

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expand its commitments to RXI unless there was the eventual possibility of repatriation of capital and profits and he hoped that a way might be found to obtain these rights.

Xerox Background

The history of the Xerox Corporation, U.S.A., had been one of the great business success stories of the twentieth century. Originally known as the Haloid Company, Xerox began in 1906 as a sensitizer of photographic papers. The company's progress was unremarkable until 1946 when a new president, Mr. Joseph C. Wilson, committed the firm to the development of products based on "dry" copying processes. Up until that time, all copying and duplicating equipment required the use of "wet" chemicals and specially prepared paper. Xerox acquired the rights to an electrostatic copying process invented in the 1930's by Mr. Chester Carlson and worked with the Battelle Memorial Institute (a nonprofit contract research foundation) to develop a practical electrostatic copier. While larger companies had rejected the idea of developing such a product, Xerox worked for thirteen years to develop a salable easy-to-use electrostatic office copier.

Finally, in 1960, the company introduced the 914 Office Copier. The heart of this machine consisted of a selenium coated drum that was given a positive electrostatic charge. When the image of a document was projected on this drum, light from the "white" portions of the document destroyed the drum's charge while the areas of the drum corresponding to the "black" or printed portions of the document retained their charge. A negatively charged powdered ink was then swept over the drum, adhering to the positively charged areas. The powdered ink was then transferred to a piece of plain paper and fused into place with heat. The copies so produced were "dry", did not require special paper, and were made in a few seconds.

The Xerox copier was an immediate success and, as the demand for "dry" copying grew, the company introduced new and more advanced models of copiers designed to cover a range of needs from occasional copies to high volume duplicating. Between 1961 and 1972 Xerox Corporation's revenues grew from $66.2 million to $2.42 billion, an average annual growth rate of 38.6% per year. By the end of 1972, Xerox Corporation had become the seventh most valuable privately owned industrial corporation in the United States with its total common stock valued at $11.7 billion by the market.

A key feature of the Xerox Corporation's strategy was its decision to move rapidly to world-wide distribution of its products through licensing arrangements. Rather than wait until it had built up the strength to move abroad by itself, Xerox formed a partnership with the Rank Organization of England, creating Rank Xerox Ltd. which, in turn, created Fuji-Xerox of Japan as one of its subsidiaries. In return for giving up substantial rights to its patented technology, Xerox products were sold world-wide at a volume that the U.S. based company could not have achieved for several years. While Rank Xerox Ltd. did not itself engage in research and development activities, it had complete access to all Xerox Corporation developments, engaged in its own Europe based manufacturing, and was chartered to sell Xerox products every-

where in the world other than the U.S. and Japan. By the end of 1972, 37% of Xerox's consolidated world revenues were derived from operations outside the United States.

Another basic element of the Xerox strategy was its plan to eventually integrate the technologies involved in computers, data transmission, data storage, and image reproduction into totally new forms of communication and information storage and retreival systems. While copiers were still the firm's strongest and largest product line, corporate management was devoting considerable research effort towards blending the technology of Xerography with the technologies possessed by companies it had acquired in the computer, data transmission, and microfilm businesses.

Exhibits 3 and 4 show consolidated income statements and consolidated balance sheets for Xerox Corp. and Rank Xerox Ltd. for 1972 and the corresponding data for Rank Xerox Iran for fiscal 1972 and 1973.

Investment in Iran

Up until 1970, Rank Xerox Ltd. had distributed very few of its copiers in the Middle East. In part, this was an outcome of the company's policy of only making its products available on rental terms and, even then, only in areas that were immediately served by Rank Xerox sales and service companies. In addition, an Arab boycott of Xerox, due to the U.S. company's alleged support of Israel, had prevented Rank Xerox from forming sales and service companies in most of the Mid-Eastern countries.

In 1970, Rank Xerox decided to enter the Mid-East by setting up a subsidiary in Iran, a non-Arab country with the region's most dynamic economy. By law, the Iranian government had committed itself to spending 80% of its fast growing oil revenues on economic development projects and between 1960 and 1970 the country's GNP per capita had grown at an average rate of 6.5% per year at market prices, moving from $196 to $369. This growth had been accompanied by a rapid expansion in the size of government and private business organizations, with a consequent increase in the demand for copying and duplicating machinery. At the time Rank Xerox entered Iran, most of this demand was being met by the Minnisota Mining and Manufacturing Company's products, which were distributed through a local sales agent.

Mr. Gozzard, who was assigned the job of creating a Rank Xerox subisdiary in Iran and managing its operations, recalled how he got this assignment and some of the problems he faced:

> Before coming to Iran I was a personnel manager at Rank Xerox, London. In 1969-70 the company found that it had a severe shortage of line managers to head up its expanding subsidiary operations and I was among a number of staff people picked to be trained for line positions. I was first assigned to temporary duty as a Xerox branch manager in Australia and then sent to a management development program at the Harvard Business School.

Rank Xerox Iran was registered in October, 1970, and we immediately faced the problem of learning how to do business in Iran: Would Iranian businesses honor rental contracts? How do you recruit sales and service personnel? How do you deal with customs, the Central Bank's import and currency control regulations, Iranian labor laws, and literally hundreds of other details? Because we did not have an Iranian partner or a connection with a strong Iranian organization we had to work by ourselves. Nevertheless, by May, 1971, we were off and running.

Rank Xerox Iran's Business

RXI's product line consisted of four different models of copier/duplicator machines, spare parts for these machines, toner (powdered ink), and branded bond paper. The RX660 was a desktop copier designed to be used in relatively low volume applications; the RX720 was the firm's standard medium-volume console model and the RX3600 was a high speed duplicating machine which, together with its optional collating attachments, could form the center of a company-wide duplicating service. In April, 1973, the company had introduced the RX4000, a "second generation", copier that could print images on both sides of a sheet of paper.

While one of the Xerox copier's chief selling points was its ability to make copies on a wide variety of different paper types, many customers chose to use Rank Xerox brand paper. Management believed that one of the main returns to the company from the sale of branded paper was the reduction in service calls that resulted. Rank Xerox paper, they claimed, was of high quality and so standardized that it caused jams in the paper feed mechanism much less frequently than did other paper brands, especially those available locally in Iran. It was estimated that about 85% of RXI's clients used Rank Xerox brand paper for at least part of their copying requirements.

Contract Terms. Customers who wished to use a Rank Xerox copier/duplicator were given a choice between two forms of rental agreement; none of the company's machines were sold outright. The short-term contract was a simple rental agreement cancellable by the customer upon 30 days notice. The long-term contract was actually a year's lease that was self-renewing unless the customer gave written notice of intent to cancel at least 90 days before the end of a particularly lease year. Customer charges were slightly lower under the long-term contract.

The most important aspect of Rank Xerox rental and lease contracts was their service provisions. RXI was required by these contracts to absorb

all costs involved in keeping the machines in good repair and operating properly. In addition, an RXI service specialist was to be available to any client experiencing problems within 5 to 24 hours of the client's call.

RXI's rental terms included the provision of all consumables (chiefly toner) and replacement parts at no additional cost to the customer. The direct materials cost of providing these items was typically about 11% of RXI's rental revenues.

The company strictly honored its service obligations, viewing the quality and speed of its service as one of its primary competitive strengths The company's repair policy was to keep the machines in virtually new condition. "Those machines are not the customers', they belong to Rank Xerox," Mr. Gozzard emphasized, "and we want the ability, if need be, to re-rent any one of them to another customer with only minimum clean-up and face-lifting costs".

Market Size and Competition. Participants in the market for copying and duplicating machines in Iran agreed that the market was expanding rapidly, but the size of the market was not known with any exactness. Exhibit 5 shows Ministry of Finance data on the imports of "Duplicating, Photocopying, and Printing Machinery," and imports of "Miscellaneous Office Equipment" for 1968 and 1972. Because the classification of imports was notoriously inexact and because these figures grouped together all types of copying and office machinery, they were only useful in indicating the relative growth rate in these areas. Up until recently, RXI's machines had been imported under the "Miscellaneous Office Equipment" category and management did not know if the products of competing plain paper copier firms were imported under the same category or not.

While the demand for plain paper copiers was clearly increasing in Iran, a great deal of the copying and duplicating in the country was still done by the traditional "wet" processes (mimeograph, multilith, offset press, photocopy, etc.). Demand for plain paper copiers was highest in the most "modern" sectors of the economy -- the more progressive Ministries, the National Iranian Oil Company, and large industrial firms. Management, however, had no clear data on what portion of the total demand for copying and duplicating in Iran was in the plain paper segment.

In October, 1973, about two-thirds of RXI's revenues were coming from private industry with the remaining one-third split about evenly between government and oil-sector clients. The most significant trend was the increased business with the government which, one year earlier, had accounted for only 5% of revenues.

RXI's main competitors in Iran were IBM, Minnisota Mining and Manufacturing (3M), and a number of Japanese copier manufacturers. None of these firms engaged in local manufacturing and only IBM maintained a sizeable office in Iran together with a large service staff. Mr. Aghlaghi, RXI's National Sales Manager, estimated that RXI had between one-third and two-fifths of the office copier market, that 3M had about 25%, IBM had about 3%, and that the remaining share was divided among several sales agents representing Japanese manufacturers.

He described RXI's share as the "cream of the market" and predicted that the company's share would increase until such time as the "cream was all skimmed". Mr. Aghlaghi estimated that this would require another four to five years.

Evaluating RXI's chief competitive strengths and the nature of its market share, Mr. Aghlaghi said:

> Our main market is the sophisticated user - - the company that is aware of its copying needs, sees the usefulness of machines that use standard paper, wants high quality copies, and can make full use of our ability to supply a machine tailored to its copying needs. In addition, the Rank Xerox name is well known in the copying and duplicating field and our experience allows us to field one of the best sales and service forces.

Management believed that IBM most closely approximated RXI in terms of product quality, price, and service. Like Rank Xerox, IBM's basic policy was to rent rather than sell its machines. Although it had fewer models, IBM's machines produced high quality copies. RXI's strategy for competing with IBM was to point out to the customer that Rank Xerox machines were faster for long runs, used regular sheet paper stock rather than a special IBM supplied roll of paper, gave a lower cost per copy on long duplicating runs and that RXI specialized in copiers while IBM was chiefly a computer company. Management believed that one reason for IBM's small market share was that the company was seen as being primarily a computer company and, in fact, that its management devoted most of its efforts to the computer business. In addition, IBM had only recently entered the copier business and not enough IBM copiers were available throughout the world to meet the demand.

The 3M machines relied on a dry infrared process or photographic process to produce copies on special paper. RXI's management claimed that the copy quality available from these machines was poorer than that available from Rank Xerox machines and that the paper used was flimsy and did not have a good appearance. 3M machines were sold rather than rented and the company provided customers with three months of free service and, after that, charged for spare parts replacement. However, the machines' simplicity tended to result in fewer service calls than were produced by IBM or Rank Xerox machines, although 3M's cost per copy was about 20% higher.

As a group, the Japanese machines were sold rather than rented, were slower, produced poorer copies, and were less flexible in use than Rank Xerox machines. The cost per copy, however, was considerably lower. Management estimated that the cost per copy of the cheaper Japanese machines was only 60% - 70% of that of Rank Xerox machines. While the service crews fielded by the sales agents for Japanese machines tended to be small, the machines themselves were simpler and required few service calls. The major Japanese brands marketed in Iran were Toshiba, Minolta, and UBIX.

The Toshiba machine used a wet process and special paper but had the advantage of a very low cost per copy. The Minolta also used a wet process and, RXI's management claimed, produced relatively poor quality copies. The Minolta agent had, however, capitalized on the machine's trouble-free operation and ability to make copies 50% smaller than the original by selling these machines to almost all commercial banks in Iran. The banks used them to make copies of promissory notes and present them to the signators when they became due.

The UBIX machine was produced by the joint efforts of Mitsubishi and a German firm and produced fairly high quality copies on plain paper. The machine was sold outright rather than rented and was, management stated, potentially very competitive with the Rank Xerox line. Management noted that to date the local sales agent had not been able to field a large enough well trained service force and, therefore, competition from UBIX had not as yet been a threat.

Marketing and Sales. Rank Xerox Iran's basic marketing strategy was to employ a heavily trained direct sales force, back up the sales force with advertising in newspapers and magazines, and open up regional offices as demand grew in areas outside the capital city.

In October, 1973, the company employed 26 full time salesmen, 5 sales trainees, and 3 district sales managers within its National Sales Department. Salesmen were compensated on a salary plus commission plan that aimed at keeping about an even balance between salary and commission income. In addition to the commission incentive system, the sales manager established a quota for each salesman based on the estimated business available in his sales territory and his experience. The salesman's performance against his quota was used in awarding salary increases and in making promotion decisions. The salesmen's total income was quite high by local standards and only IBM was known to provide similar compensation for sales work.

The company trained salesmen by having them spend about one month in a classroom sales training course, then having the trainee go along with an experienced salesman for two or three months and finally moving him into either a full salesman or junior salesman position.

Sales personnel were required to be fluent in English and Farsi and most of them had had some type of training abroad in English speaking countries before joining RXI. The company preferred to hire men who had some university level education but who had not completed their program or received a degree. "Once an Iranian gets his bachelor's degree," Mr. Aghlaghi explained, "it is very hard to get him to take a sales job no matter what you pay".

Management stated that expansion of the number of branch offices was one of its key medium-term targets and the immediate goal was to obtain 20% of new business outside of Tehran in the coming year. In October, 1973,

the company had a branch office in Ahwaz (local center of the oil industry), and a small showroom in Isfahan.[1] Currently, only the Ahwaz office had a service staff; service to other areas was provided from Tehran on a 48 hour notice basis.

Imports

RXI imported the copier machines it rented to customers from Rank Xerox Ltd.'s Production Division in London. The Production Division sold Rank Xerox machines to marketing divisions throughout the world at a standard price (FOB London) that was set to cover the Production Division's costs and a portion of the headquarters office's overhead. Rank Xerox company policy required "arms length" relations with subsidiaries and did not permit the granting of special transfer prices to marketing divisions or subsidiaries.

RXI had the highest "uplift" in machine cost of any Rank Xerox subsidiary; air shipment and insurance added about 20% to the London FOB price and Iranian customs duties and fees were about 50%, giving a total "uplift" of about 70%. Duties on spare parts were also at the 50% rate, duties on toner were 45%, and duties on paper were about 20%.

In addition to the direct cost of duties, Iranian import regulations had a significant impact on the company's total financial situation. Because copying machines were classified as "unessential" imports, the Central Bank of Iran required importation to take place under a letter of credit and also required a deposit of 100% of an order's CIF cost to be made before it extended the necessary import documents. RXI then had to arrange for payment to London, through the letter of credit and received its import deposit back only after the goods had cleared customs. Thus, the financing of machine, spare parts, and toner imports was a substantial burden, requiring a committment of over 200% of the CIF price.

The requirement that importation take place under a letter of credit meant that RXI had to arrange for the actual transfer of funds to Rank Xerox Ltd. in order to pay for imports. Since these funds were obtained from Rank Xerox on a long-term loan basis, the importation of equipment involved a circular flow of cash from London to Iran and then back to London. If RXI had not been required to import through letters of credit it could have followed the much simpler alternative of importing machines against direct credits from London - -the bookkeeping entries would be the same but funds would not actually have to flow between countries.

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[1] The five major cities in Iran were Tehran, Meshed, Tabriz, Isfahan, and Abadan.

Finance

RXI had operated below the break-even point during its first two years of operation. During fiscal 1973 it produced a 12% profit on revenues and management expected profitability to continue to improve. (Mr. Peter Grubb, RXI's controller, estimated that about 40% of the 1973 overhead expense was fixed and would not increase significantly as revenues increased). RXI's current level of profits was not, however, sufficient to cover the needed investment in new machines. Management thought that it would be four to five years before the relationship between profit and growth allowed RXI to become self-financing. Thus, RXI remained heavily dependent upon constant infusions of capital by Rank Xerox Ltd. To date, most of the capital transferred tp RXI had been in the form of long-term loans (7 year term, 3 year grace period, interest at 5%). While the first interest payments and installments were due in fiscal 1974, management estimated that RXI would require additional loans from Rank Xerox of about £ 300,000 just to finance its 1974 expansion program. As a practical matter, RXI could make neither interest nor principal payments to Rank Xerox Ltd. until such time as the Central Branch provided it with the necessary foreign exchange transfer rights.

RXI's inventory policy was to keep in stock a two-months supply of machines and spare parts. However, due to a world-wide shortage of Rank Xerox machines during the last six months, the company had virtually no machine inventory and customers had to wait four to six months for delivery.

The Problem of Legal Status

Mr. Gozzard was deeply concerned about two major issues related to RXI's legal status in Iran. First, Rank Xerox Ltd. could repatriate neither the loan and equity capital it had extended to RXI nor the subsidiary's profits. It was not clear how much longer Rank Xerox Ltd. would continue to support RXI if this situation did not change. Second was the possibility that another copier manufacturer might set up a joint venture to assemble copiers in Iran and be granted sufficient import protection by the government to insure its competitive success against imported products.

The Regulatory Environment. The Iranian government regulated business enterprise in Iran through a number of laws and administrative rules. At the simplest level, any foreign business operating in Iran had to register with the Registrar of Companies if it wished to be able to open bank accounts, rent office space, or obtain work permits for foreign employees. This was an automatic process and there were no special requirements that had to be met. RXI was registered as an "Iranian private corporation" whose stock was wholly owned by Rank Xerox Ltd.

While it was not a strict legal requirement, it was a practical necessity for any new manufacturing business or any major plant expansion to receive approval from the Ministry of Economy in the form of an "industrial license." This license was a prerequisite for obtaining the benefits of a generous package of incentives. Among the privileges available only to firms possessing licenses were (1) import tariff exemptions for capital goods required in manufacturing operations and perhaps exemptions on some of the raw materials required, (2) tax holidays ranging from 5 to 10 years if the plant was located outside Tehran, (3) eligibility to buy government land, water, and power at nominal prices, (4) eligibility for export incentives including exemption from taxes on export profits, low rate export credit facilities, and rebates on duties paid on materials used in exported products, and (5) the implied commitment of the government to support the enterprise by controlling competition, erecting additional tariff barriers to protect it if need be, and, in some cases, banning the importation of competing products.

In evaluating an application for an industrial license, the Ministry of Economy used the following guidelines: (1) the project should not conflict with national priorities or with policies designed to protect certain industries (2) the value added by the firm should be at least 35% of the factory price and the non-profit components of value added should be at least 20% of the factory price, (3) as an alternative to the value added rule, at least 65% of the raw materials employed should be of local origin, (4) the business should make a positive contibution to the country's balance of payments, and (5) sufficient scale economics should be present to warrent protection. Exhibit 6 shows a sample calculation of the value added and raw material content analysis for a new industrial project.

The value added criterion was generally the most difficult one for businesses to meet. However, in the case of certain branded high-technology products (e.g. pharmaceuticals), this criterion had been relaxed because it was believed that Iran was not yet at the point where the complex raw material processing steps could be performed locally. When such exceptions were made there was a general understanding that the value added by the business would be required to increase over time.

The requirements for an industrial license were applied to all manufacturing enterprises in Iran, whether locally or foreign owned. If, however, a foreign owner or partner wished to be able to repatriate his capital and/or profits, he had to either qualify under the rules of the Center for the Attraction and Protection of Foreign Investments (CAPFI) or work out a special arrangement with the Central Bank of Iran. Approval under CAPFI was the required route for manufacturing businesses while banks and some service enterprises (e.g. consultants) dealt with the Central Bank.

CAPFI administered the Law for the Attraction and Protection of Foreign Investments, a law designed to cover foreign firms or individuals who transferred capital to Iran for "development, productive, industrial, mining, transportation, or agricultural purposes and subsequent activities, or for granting credit and financial assistance to Iranian firms engaged in the said enterprises." As a practical matter, CAPFI had thus far only granted approval to firms engaged in mining, manufacturing, or transportation.

CAPFI (an arm of the Ministry of Economy) screened applications for protection under the Law and, if approval was forthcoming, the applicant was permitted to (1) export his share of the firm's net profit in the same currency as that originally imported, (2) repatriate the original capital invested together with accrued profits, subject to three months notice, (3) sell his ownership to Iranians and transfer the proceeds abroad, and (4) the applicant received full protection under Iran's industrial property protection, trademark, patent, and copyright laws and agreements.

In screening applications CAPFI had two basic rules: First, the majority of the share capital of the firm had to be owned by Iranian nationals or Iranian firms. Second, if the firm was a manufacturing enterprise, it had to qualify for an industrial license under the standard Ministry of Economy rules.

Non-industrial firms that wished to obtain repatriation privileges usually had to deal directly with the Central Bank rather than CAPFI. To date, the Central Bank had granted repatriation rights to commercial banks and to firms performing services that were essential to the country's oil industry, ministries, and military establishment.

Mr. Gozzard had approached the Central Bank with a proposal that the firm be permitted to repay its loans to Rank Xerox Ltd. and export its profits. Central Bank officials had responded that loan repatriation might possibly be arranged but that the repatriation of profits was a much more difficult matter. They argued that (1) RXI was registered as an "Iranian company" and therefore had no special reason to have the right to export profits and (2) that the transferrability of ownership inherent in RXI's legal form raised the possibility that the share capital could fall into hands "prejudicial to Iranian interests." Mr. Gozzard was willing to take steps to remedy this situation but so far had been unable to determine exactly what kind of legal structure would meet the approval of the Central Bank.

The simplist solution to repatriation problems, and one that a number of foreign firms employed, was simply to take the profits abroad by using an inflated transfer price. While the Iranian government tried to prevent this practice, its ability to control it was limited to manufacturing firms licensed by the Ministry of Economy. RXI, however, could not follow this route because of Rank Xerox Ltd.'s policy of maintaining world-wide standard transfer prices.

The Competitive Threat. Although Rank Xerox Ltd.'s inability to repatriate Rank Xerox Iran's profits was seen as a problem that would eventually have to be solved, Mr. Gozzard's immediate concern was that a

competing copier manufacturer, particularly one of the Japanese manufacturers, might obtain a license to assemble copiers in Iran and gain a significant amount of import tariff protection. The danger to Rank Xerox Iran from such a move was enhanced by the pre-emptive nature of Iranian industrial licensing.

Mr. Gozzard was not aware of any plans by his competitors to establish assembly operations in Iran but noted that such an action would, if taken, have serious consequences for Rank Xerox Iran:

> At present Rank Xerox Iran has a dominant position in the market due to our name, the quality of our product, and our sales and service force. If, however, one of the Japanese manufacturers were to set up a local assembly operation, we would be forced to either respond in kind or to consider dropping out of the race.
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> It is difficult to say how likely such a compeitive move really is. The same problems we face in meeting the Ministry of Economy value added guidelines affect other firms. Still, some of the local sales representatives are strong aggressive businessmen and might be able to obtain a license. Toshiba, for example, is represented by an agency owned by Hadj Barkhordar, a very influential and able businessman with a wide variety of industrial and commercial holdings. He is already a partner with Toshiba in a local electronics business and if he were to get Toshiba to go in with him on a copier assembly venture it would be disasterous for us unless we could respond with our own assembly plant.
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> The problem, in essence, is price. Once a manufacturing firm is licensed by the Ministry of Economy the government tries to make sure that it will survive and be reasonably profitable. In most cases this means that import duties on competing goods are raised or import quotas set. If this happened, it would either price us out of the market or limit our position to that of a marginal supplier.

Further complicating the issue was the fact that Iranian businessman often obtained licenses from the Ministry of Economy as a pre-emptive tactic rather then with serious intent to engage in manufacturing. This was possible because once the Ministry granted a license in principle to one applicant, the door was generally closed to other applicants in the same area until the license holder either began operations or formally dropped the project. Although the Ministry had tried to stop this practice be setting time limits, licenses were still renewable as long as the holder could show that some progress was being made. Official statistics indicated that only about one-third of the projects licensed by the Ministry of Economy were eventually completed and actually began operations.

Strategic Alternatives

After reviewing the situation facing RXI Mr. Gozzard concluded that there were three basic alternative courses of action open to him (1) RXI could try to work out an arrangement with the Central Bank that would permit repatriation of capital, loans, and profits, (2) RXI would enter into a joint venture

with a group of Iranian investors to assemble Rank Xerox machines in Iran, sell 51% of the company's share capital to the local investor group, and obtain repatriation rights and protection under CAPFI, and (3) Rank Xerox Ltd. could try to work out an arrangement with the government whereby it received repatriation rights in return for setting up an Iranian based paper exporting company. There were, however, problems associated with each of these alternatives.

Dealing with the Central Bank. Attempting to obtain repatriation rights directly from the Central Bank was attractive in that there were no strict requirements about entering into manufacturing or bringing in Iranian investors. It was, however, uncertain as to whether such an arrangement could actually be worked out. "Investing this alternative," Mr. Gozzard noted, "is relatively costless and riskless. Nevertheless, even if the Central bank does eventually grant us repatriation rights it does nothing to reduce the threat of a competitor entering into a local assembly venture."

Manufacturing Joint Venture. One of the steps RXI could take was to enter into a joint venture with a group of Iranian investors and set up a business that assembled Rank Xerox machines in Iran as well as carried out the sales and service functions. As long as the business met CAPFI requirements, it would be granted repatriation rights and would be protected against serious competition.

Rank Xerox Ltd. was not an integrated manufacturer and made extensive use of sub-contractors; about 80% of the final cost of its copiers was in the form of payments to sub-contractors. This manufacturing strategy limited the degree to which significant portions of the production operation could be transferred to IRan, or to any other country. The plan Mr. Gozzard had in mind involved a "knock-down" operation --most of the major sub-assemblies would be assembled abroad and shipped to Iran. RXI would locally produce the cabinets and other simple components and perform the final assembly, test, and adjustment steps. He estimated that this kind of process would not significantly change the finished cost of the machines and an expert from Rank Xerox's Production Division had advised him that about 10% of the copiers' manufacturing costs could be transferred to an Iranian assembly operation. This meant that about 90% of the machines' cost would be imported components and the remaining 10% would go for local materials and wages. The basic problems with this plan were due to Rank Xerox Ltd.'s policies on joint ventures and assembly operations.

Rank Xerox Ltd. operated twenty-six subsidiaries in as many countries but in no case had it permitted outside investors or companies to hold more than one-half of the capital stock of its subsidiaries. the company's basic philosophy with regard to ownership and control was that Rank Xerox Ltd. should always hold the majority of the share capital of a subsidiary and retain control. In part this policy stemmed from the company's concern over the management of sales and service -- management did not want Rank Xerox machines to be sold or serviced by agencies over which it did not have control and whose level of integrity and policies regarding quality it could not strongly affect. In addition, Rank Xerox Ltd.'s managment was opposed to the idea of giving away substantial portions of operating profits to outsiders. Management felt that the company's hard-won patented technology, its competence at running sales and

service operations, and its reputation were the sources of its success and that profits earned on the basis of these strengths rightfully belonged to Rank Xerox. Since the company had no real need for the capital available from outsiders, it tried to minimize both the capital supplied by outside investors and their share of the profits of subsidiaries.

Mr. Gozzard realized that these Rank Xerox Ltd. policies clashed with Iran's CAPFI requirements and he was not enthusiastic about trying to convince headquarters to modify its stand unless it was absolutely necessary. "Ultimately", he noted, "headquarters might be willing to go along with Iranian majority ownership if we can find trustworthy investors and maintain some degree of true control. Also, the payment of a royalty fee[1] to London might help defuse the issue of profit participation."

An additional problem with the idea of setting up an assembly plant in Iran was Rank Xerox Ltd.'s lack of experience with such operations and the lack of any positive policy supporting the creation of assembly plants. At present, Rank Xerox copiers were assembled in England and plants were being completed in France and Germany but the company did no manufacturing outside of Europe, but that corporate management did not particularly favor Iran as a site. He explained:

> It is quite possible that Rank Xerox will set up an assembly plant in the "Third World" sometime in the near future but corporate management will probably choose only one site and wait until its success is proven before thinking about more ambitious program of foreign assembly. In picking such a site it is clear that headquarters will be looking at the local regulatory environment, the local skills available, and the export potential. It is hard to make a strong case for Iran, as things currently stand, on any of these three counts. Local regulations are restrictive and complex, while skilled workers are available here they certainly are not plentiful, and the Arab boycott against Xerox significantly limits the export potential from Iran. While I personally feel that the size of the local Iranian market will soon be enough to justify a local assembly plant on economic grounds, headquarters has the whole world to choose from and they may choose to work in an area that management is more familiar with. At present, I am virtually the only Rank Xerox manager with line experience in the Middle East while Rank Xerox's experience in former British possessions is extensive.

Quid Pro Quo in Paper. Mr. Gozzard felt that while it might be very difficult to convince Rank Xerox Ltd. to set up a local copier assembly plant, management would look much more favorably on a plan to produce Rank Xerox brand paper in Iran for export. The Iranian government was generally quite helpful to businesses that had export potential and Mr. Gozzard hoped that the Ministry of Economy might grant Rank Xerox Iran repatriation rights in return for its help in organizing and running a high profit export business. The Ministry of Economy had, in fact, frequently stated that its rule requiring majority Iranian export portion of the business was substantial.

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[1]The Ministry of Economy generally held royalty payments on patented technologies to 5% of revenues or less.

One of the problems with this idea was that Iranian paper companies were all currently operating at capacity and there was a local shortage of paper. This meant that no excess capacity was currently available to be redirected to exports.

An additional problem was that recent world-wide increases in the price of paper had made some grades of paper competitive on world markets. Iranian paper companies could, therefore, export paper without Rank Xerox's help. At present, however, no exports were taking place because local demand was so high. However, two new paper plants were currently in the planning stages and informed sources estimated that the country would have capacity available for export within three or four years.

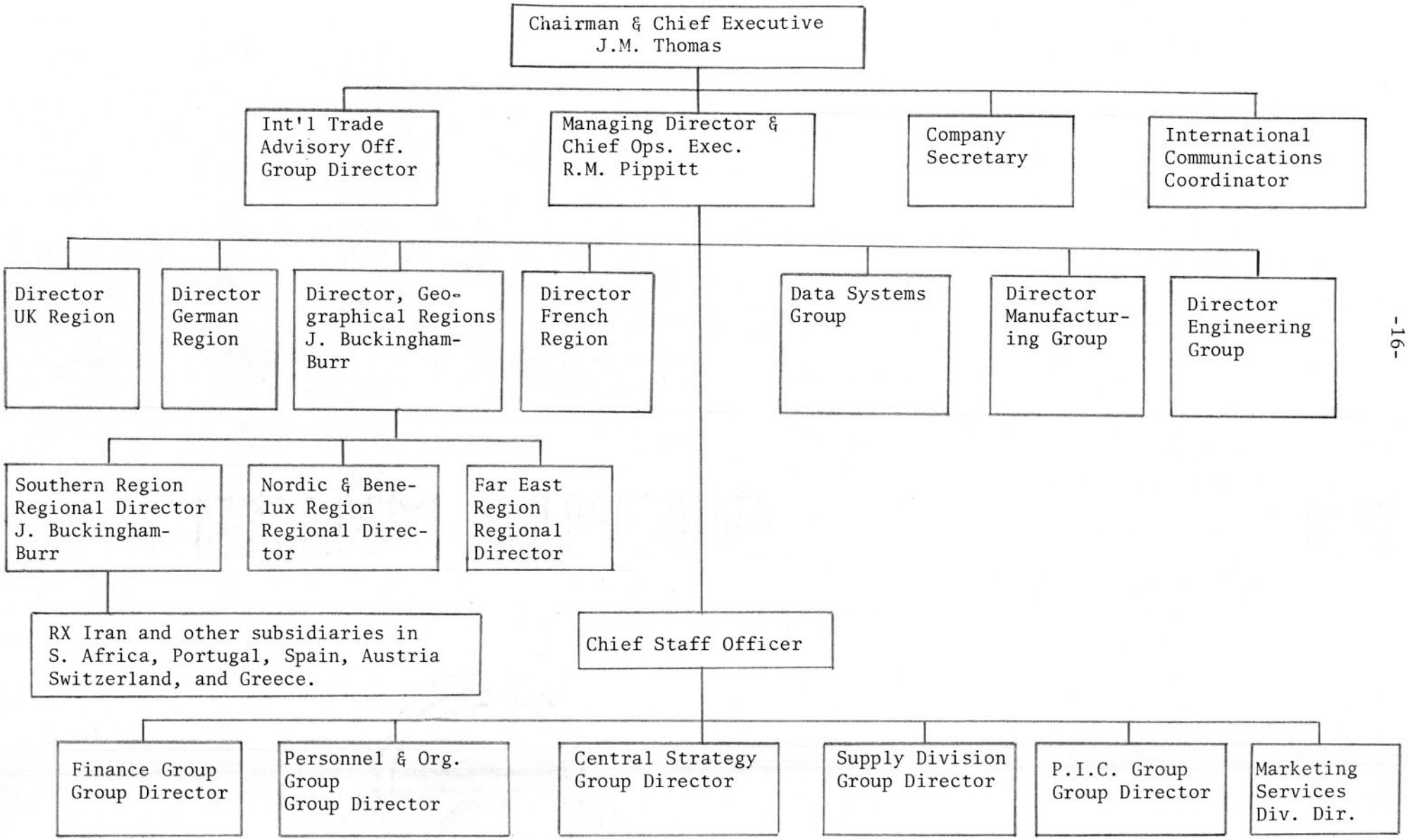
The quality of the paper currently produced in Iran was sufficient for normal office work but did not meet the stringent Rank Xerox standards for eveness of texture, weight, size, and moisture resistance. Mr. Gozzard was convinced, however, that Rank Xerox Ltd.'s substantial competence in paper technology would, if it was made available, be able to help a local company to meet Rank Xerox standards without serious difficulty.

Mr. Gozzard's thinking on this plan was still in its formative stages and he had not as yet discussed it with either local paper manufacturers or the Ministry of Economy.

Exhibit 1

RANK XEROX IRAN

Rank Xerox Ltd. Organization Chart



Source: Company Records

Exhibit 2

RANK XEROX IRAN

Company Organizational Structure

A. B. Gozzard: General Manager

J. Pritchard: National Service Manager*

M. Akhlaghi: National Sales Manager

P. Grubb: Planning & Analysis

H. Zobeidi : Financial Manager

R. Rahrovi: Administration Manager

*Dr. A. H. Khadem was in the process of taking over the job of National Service Manager in preparation for Mr. Pritchard's return to Rank Xerox headquarters.

Employee Breakdown:

Direct sales	25
Indirect sales	5
Direct service	38
Indirect service	3
Administration	8
Branch managers	3
Copy service	3
Refurbishing	3
Training	3
Finance	18
Office staff	10
Total	119
Total non-Iranian	3

Source: Interviews with company officials

Exhibit 3

RANK XEROX IRAN

Xerox Corp. and Rank Xerox Ltd. Consolidated Financial Statements

Company	Xerox Corp.	Rank Xerox Ltd.
Year Ended	December 31, 1972	October 31, 1972
Currency units	$ in millions	£ in millions
Rental, service and royalty revenue	1,933	NA
Sales revenue	486	NA
TOTAL REVENUES	2,419	268.1
Cost of rentals and royalties	498	NA
Cost of sales	252	NA
Selling and administrative expense	717	NA
TRADING PROFIT	953	143.7
Depreciation of fixed assets	51	4.1
Amortization of rental equipment	312	33.8
Interest and other expenses	24	4.7
Income taxes	264	55.6
PROFIT AFTER TAX	302	55.6
Profit attributable to minority interests	53	0.2
NET INCOME	250	55.5
DIVIDENDS PAID	66	58.0
CURRENT ASSETS	1,052	131.1
Net land, buildings, and plant	453	56.9
Rental equipment at cost	1,937	255.8
less accumulated amortization	1,067	118.2
Book value of rental equipment	870	137.6
NET FIXED ASSETS	1,323	194.5
Investments and other assets	95	38.8
Intangibles	22	----
TOTAL ASSETS	2,492	364.4
CURRENT LIABILITIES	644	153.9
Deferred charges and other liabilities	32	30.2
Long-term debt	447	68.6
Outside equity interests	116	1.3
SHAREHOLDER EQUITY	1,253	110.5
TOTAL LIABILITIES AND EQUITY	2,492	364.4

Source: Company Annual Reports

EXHIBIT 4

RANK XEROX IRAN

RANK XEROX IRAN FINANCIAL STATEMENTS

(in thousands of rials)

	Year ended October 31,	
	1972	1973
Rental revenue	68,522	189,354
Sales Revenue[1]	8,795	30,635
TOTAL REVENUE	77,317	219,990
Cost of rentals, sales plus overhead expense	60,794	125,345
TRADING PROFIT	16,523	94,645
Rental equipment amortization[3]	15,217	48,856
Depreciation on buildings and equip.	1,306	2,394
Profit/loss on sale of fixed assets	18	148
Net interest expense	1,196	1,148
Income Taxes	------	14,744
PROFIT AFTER TAX	(1,214)	27,355
Non-recurring profit/loss	(1,638)	(508)
Transfer to reserves	-----	2,132
Dividends	------	------
Earnings retained in the business	(2,852)	25,732
Cash	36,046	40,869
Net Accounts Receivable	24,233	80,917
Inventory	10,396	25,354
Other current assets	3,165	10,726
TOTAL CURRENT ASSETS	73,839	157,865
Rental equipment at cost	129,021	365,900
Accumulated amortization	17,020	66,256
Book value of rental equipment	112,001	299,644
Net non-rental fixed assets	8,427	18,893
TOTAL ASSETS	194,267	476,402
Bank loans	---	23,370
Payables and provisions	5,262	22,944
TOTAL CURRENT LIABILITIES	5,262	46,314
Inter-group debt	5,943	6,904
Rank Xerox long-term loan[4]	140,374	352,650
Share capital[5]	64,400	64,400
Legal reserves	---	2,132
Undistributed profits	(21,712)	4,002
TOTAL EQUITY	42,688	70,534
TOTAL LIABILITIES AND EQUITY	194,267	476,402

EXHIBIT 4 CONTINUED

RANK XEROX IRAN

Notes to Financial Statements

1. Sales revenue is mainly derived from the sale of Rank Xerox brand paper.

2. Small copiers are amortized over four years and large duplicators are amortized over five years.

3. The term loan from Rank Xerox Ltd. has a term of seven years with a three year grace period. Interest is charged at 5% per annum.

4. Amounts received in Pounds Sterling are recorded in Iranian rials at the exchange rate in effect at the time of the transfer. On Oct. 31, 1972 the effective exchange rate was 184 rials/£ and on Oct. 31, 1973 the effective exchange rate was 164 rials/£.

Source: Company records

Exhibit 5

RANK XEROX IRAN

Copying, Duplicating, and Office Equipment Imports

(in millions of rials)

Category 853-1: Duplicating, Photographic,Printing Machines and Apparatus

Country of Origin	Year ended March 20, 1969	1972	Growth Rate
Japan	7.24	27.84	56.63% per annum
W. Germany	11.07	34.20	45.63
U.K.	10.79	130.56	130.00
Netherlands	2.58	7.63	43.53
U.S.A.	6.88	9.82	12.58
All Other	4.27	23.72	77.07
TOTAL	42.83	233.77	76.05

Category 853-3: Miscellaneous Office Equipment and Machinery

Country of Origin	Year ended March 20, 1969	1972	Growth Rate
Japan	3.74	4.42	5.67% per annum
W. Germany	5.43	13.33	34.80
U.K.	5.01	8.37	18.64
Netherlands	0.45	3.22	93.00
U.S.A.	2.43	10.85	64.72
All Other	2.19	5.46	35.53
TOTAL	19.25	45.65	33.32

Category 853-4: Parts, Machinery (Office Equipment) Not Listed Elsewhere

Country of Origin	Year ended March 20, 1969	1972	Growth Rate
Japan	1.77	2.08	5.52% per annum
W. Germany	2.37	2.90	7.00
U.K.	2.27	29.67	135.00
Netherlands	0.65	0.65	0.00
U.S.A.	1.65	2.22	10.50
All Other	0.97	1.88	24.67
TOTAL	9.68	39.39	60.00

Source: Ministry of Finance

Exhibit 6

RANK XEROX IRAN

Sample Value Added Calculations

CIF price of an equivalent imported product	90
Ex-factory price of locally made product	100
Imported raw materials (CIF)	20
Duties and fees	10
Local raw materials	30
Total raw materials cost	60
Value Added	40
Components of value added:	
Wages and salaries	10
Depreciation: imported equipment	5
Depreciation: local plant and equipment	5
Utilities	2
Taxes	3
Profit	15

Nominal protection rate = 100(100/90 - 1)	= 11.1%
Value added/output = 40/100	= 40.0%
Profit/value added = 15/40	= 37.5%
Domestic raw material content = 30/60	= 50.0%
Foreign exchange savings = 90 - 20 - 5	= 65/unit

Source: Interviews with Ministry of Economy analysts